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2nd SEMESTER 2025/26

Group Coursework

Finance and Markets

Learning Outcomes

- A. Analyze and identify the seeds of financial crisis to enable the formation of possible future crises to be forecasted.
- B. Assess the consequences of credit expansion.

DEADLINE: 20th April., 2026, 5:00 p.m.

WHERE: Submit to LM Online

TASK:

Alternative lending models have emerged to provide faster, more flexible, and technology-driven financing options, compared with traditional banking systems. These Alternative lending models often leverage fintech, blockchain, and peer-to-peer interactions to connect borrowers with capital more efficiently.

The collapse of China's peer-to-peer (P2P) lending industry was one of the most significant financial events in recent years. At its peak, China had over 6,000 P2P platforms, attracting millions of investors with the promise of high returns. However, due to widespread fraud, adverse selection, moral hazard, and conflicts of interest, the industry collapsed, resulting in an estimated \$115 billion in investor losses.

In this coursework, you will critically analyze the rise and fall of China's P2P lending sector using financial structure concepts, including:

- Transaction Costs

- Asymmetric Information
- Conflicts of Interest

As part of this coursework, your group need to conduct an interview with one or two friends or family members to gain real-world insights into how people perceived and engaged with P2P lending (preferably from China). Your interviewee(s) should participant in P2P lending before, or at least know P2P lending.

If your interviewee invested in P2P lending, suggested questions:

1. *What made you choose P2P lending over a traditional bank?*
2. *What information did the platform provide about borrowers? Did you trust it?*
3. *Did you ever suspect the platform might be misleading investors?*
4. *Did you worry about how borrowers would use the money?*
5. *If you lost money, what do you think went wrong?*

If your interviewee did NOT invest, suggested questions:

1. *Why did you hesitate to invest in high-return P2P platforms?*
2. *Did you find the promised returns too good to be true?*
3. *Would you have trusted a government-backed P2P platform?*
4. *If you needed a loan, would you consider P2P lending instead of a bank? Why or why not?*
5. *What do you think about the government's decision to shut down P2P lending?*

Recommended Structure of Your Recorded Presentation:

1. Introduction.

Provide a brief overview of what is Peer-to-Peer lending in China.

2. The Growth of P2P Lending in China.

Why did P2P lending become popular in China?

- What problems did it solve for borrowers ?
- Why was it attractive to investors ?
- How did transaction costs play a role? Did P2P lending actually reduce costs or just appear to?

What financial structure factors contributed to its growth?

- Did China's bank-dominated financial system push people toward P2P lending?

3. The Role of Asymmetric Information

Adverse Selection: Why Were High-Risk Borrowers More Likely to Use P2P Lending?

- How did lack of credit checks allow riskier borrowers to get loans?
- Could investors differentiate between good and bad borrowers?
- Did P2P platforms misrepresent borrower risk?

Moral Hazard: How Did Borrowers Misuse Funds?

- Once borrowers received loans, did they use the money as promised?
- Were there rules or monitoring mechanisms to prevent reckless borrowing?
- How did Ponzi schemes like Ezubao or Qianbao exploit moral hazard?

4. The Impact of Conflicts of Interest

How Did P2P Platforms Mislead Investors?

- Did platforms prioritize profits over investor protection?
- Were platforms incentivized to approve bad loans to attract more investors?

5. Reflection from the Interview

- Summarize the key findings from your interview(s).

- Compare their responses to financial theories (e.g., did they experience adverse selection or moral hazard?).
- Reflect on whether real-world investor perceptions align with academic theories.

Recommended Readings

- News about P2P lending in China from Caixin:
- <https://weekly.caixin.com/2018-01-12/101197205.html>
- https://www.caixinglobal.com/2018-01-08/investors-call-cops-as-nanjing-internet-finance-firm-freezes-deposits-101195159.html?originReferrer=caixinsearch_pc
- You can read the full article from Caixin if you gain access to it through your university library.

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Requirements

1. A recorded video presentation with overall length between 8-10 minutes.
2. Every team member is encouraged to speak in the presentation. Provide a summary of team member responsibilities in your slides (No need to talk about this page in your presentation).

3. A reference list is needed.
4. Your analysis must be your own, demonstrating your own ideas and independent and critical thinking. Artificial Intelligence (AI) tools can be used as support. However, AI must not serve as the primary author of the coursework. Submissions that are substantially AI-generated are prohibited. You are expected to demonstrate independent critical thinking and subject knowledge.

FILES IN THE SUBMISSION

1. Video presentation
2. Presentation slides
3. Interview recording (audio or text format)